



Paper Id: 252276

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Subject Code: MBBA1203

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MBAINT
(SEM II) THEORY EXAMINATION 2024-25
MANAGEMENT ACCOUNTING

TIME: 3 HRS**M.MARKS: 70****Note:** Attempt all Sections. In case of any missing data; choose suitably.**SECTION A****1. Attempt all questions in brief.****02 x 7 = 14**

Q no.	Question
a.	State any two objectives of management accounting.
b.	Under what condition should a firm consider a shut down decision in the short run?
c.	State any two advantages of using standard costing in managerial decision-making.
d.	Name any two types of financial statements and their purpose.
e.	Mention any two components of a fund flow statement.
f.	What is the strategic role of a management accountant in an organization?
g.	What does the break-even chart represent?

SECTION B**2. Attempt any three of the following:****07 x 3 = 21**

Q no.	Question
a.	Differentiate between Financial Accounting and Management Accounting.
b.	Define the concept of a Make or Buy decision. Discuss its importance in managerial decision-making and illustrate your answer with an appropriate example.
c.	Define a Responsibility Centre. Discuss its concept and explain the various types of responsibility centers commonly used in managerial control systems.
d.	"Financial statements are the mirror of a business." Justify this statement.
e.	A company is planning to launch a new product. Which financial forecasting tools would you recommend and why?

SECTION C**3. Attempt any one part of the following:****07 x 1 = 07**

Q no.	Question
a.	Explain the concept of Cost-Volume Relationship. Discuss its significance in managerial decision-making
b.	XYZ Ltd. manufactures a single product. The cost per unit is as follows: • Direct Material: ₹60 • Direct Labour: ₹40 • Variable Overheads: ₹20 • Fixed Overheads: ₹30 • Selling Price: ₹170 per unit The company has received a special one-time export order for 1,000 units at ₹140 per unit. The order would not affect regular sales. Fixed overheads will remain the same, and there is sufficient capacity to fulfill the order. Question: As the management accountant, analyze whether XYZ Ltd. should accept the export order using relevant costing principles. Justify your answer.



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MBAINT
(SEM II) THEORY EXAMINATION 2024-25
MANAGEMENT ACCOUNTING

TIME: 3 HRS**M.MARKS: 70****4. Attempt any one part of the following:****07 x 1 = 07**

Q no.	Question
a.	What factors should a company consider while exploring a new market? Discuss its significance in strategic decision-making with a suitable example.
b.	Calculate and recommend the better option: - Cost to make per unit: ₹65 (including ₹20 fixed cost) - Purchase price per unit: ₹60 - Annual requirement: 10,000 units - If outsourced, ₹1,00,000 of fixed cost can be saved Should the company make or buy the product?

5. Attempt any one part of the following:**07 x 1 = 07**

Q no.	Question
a.	ABC Ltd. is a multi-division manufacturing company. It has classified its operations into four responsibility centres: production, sales, procurement, and finance. Each department head is accountable for the performance of their respective division. Recently, the company observed that the sales department exceeded its targets, but the production unit overspent on labor costs. The management wants to evaluate the performance of each department without blaming one department for the outcome of another. Question: Based on the principles of responsibility accounting, explain how ABC Ltd. can evaluate each department's performance fairly.
b.	XYZ Ltd. prepares budgets at the beginning of each year assuming 100% capacity utilization. However, actual production varies each month. The following costs are associated with producing 10,000 units: - Direct Materials: ₹500,000 - Direct Labour: ₹300,000 - Variable Overheads: ₹200,000 - Fixed Overheads: ₹150,000 The management now wants to prepare a flexible budget for 80% and 120% capacity levels. What is a flexible budget? Based on the above case, explain how XYZ Ltd. can prepare flexible budgets for different activity levels. Discuss the benefits of using flexible budgets for performance evaluation.

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MBAINT
(SEM II) THEORY EXAMINATION 2024-25
MANAGEMENT ACCOUNTING

TIME: 3 HRS**M.MARKS: 70****6. Attempt any one part of the following:****07 x 1 = 07**

Q no.	Question
a.	How can trend analysis be misleading? Discuss with examples and how to overcome its limitations.
b.	Discuss the relationship between liquidity, solvency, and profitability ratios with examples.

7. Attempt any one part of the following:**07 x 1 = 07**

7. Attempt any one part of the following.

Q no.	Question																					
a.	A company reports decreasing working capital over three years. What insights can you draw using fund flow analysis? https://www.aktuonline.com																					
b.	The balance sheets of MNO Ltd. as on 31st March 2024 and 31st March 2025 are as follows: <table border="1"><thead><tr><th>Particulars</th><th>31 Mar 2024 (₹)</th><th>31 Mar 2025 (₹)</th></tr></thead><tbody><tr><td>Share Capital</td><td>5,00,000</td><td>6,00,000</td></tr><tr><td>Reserves and Surplus</td><td>2,00,000</td><td>2,50,000</td></tr><tr><td>Long-term Loans</td><td>1,00,000</td><td>80,000</td></tr><tr><td>Current Liabilities</td><td>1,50,000</td><td>2,00,000</td></tr><tr><td>Fixed Assets</td><td>6,00,000</td><td>6,50,000</td></tr><tr><td>Current Assets</td><td>2,50,000</td><td>3,00,000</td></tr></tbody></table> Prepare a Fund Flow Statement for the year ended 31st March 2025.	Particulars	31 Mar 2024 (₹)	31 Mar 2025 (₹)	Share Capital	5,00,000	6,00,000	Reserves and Surplus	2,00,000	2,50,000	Long-term Loans	1,00,000	80,000	Current Liabilities	1,50,000	2,00,000	Fixed Assets	6,00,000	6,50,000	Current Assets	2,50,000	3,00,000
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